

3.10 REASONS FOR DIFFERENCE BETWEEN SPOT PRICE AND FUTURES PRICE



Explainer Video



You must have observed that there is a slight difference between the spot price and the futures price of assets. At times, the futures contract is more expensive than the spot price and at other times, the opposite holds true as well. This difference sometimes is such that the Futures Price is greater than the Spot Price, or vice versa shall be true. These conditions are financially called Contango and Backwardation, respectively.

CONTANGO

If the **Futures Price** > **Spot Price**, it is said to be a Contango market.

